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GUIDELINES ON COMPLAINTS MANAGEMENT BY SACCO SOCIETIES

Guideline No. SASRA/MC/1/2023
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FOREWORD

Introduction

The Sacco Societies (Deposit-Taking Sacco Business) Regulations, 2010 has some elements of market conduct regulations namely product disclosures, suitability of persons managing Deposit Taking Saccos and conflict of interest. On the other hand, the Sacco Societies (Non-Withdrawable-Deposit-Taking Sacco Business) Regulations, 2020 have very robust provisions dealing with members' and consumer protection issues. Specifically, the provisions provide for non-discrimination in accessing financial services and products, adequate disclosures, confidentiality of members' personal accounts and transactions, fair and accurate advertisement of financial products, fair debt collection practices and mandatory establishment of complaints handling procedures.

PROBLEM AND CONTEXT

Sacco Members form an integral part of Sacco business. The success and growth of a Sacco depends on the number of its membership, their loyalty, level of patronage. These can only be achieved through well-established complaints management mechanism that promptly and effectively handles their concerns.

Many SACCOs have not put in place adequate member complaints management framework and more needs to be done to ensure that Sacco Societies treat their customers fairly. According to the Kenya 2021 FinAccess Household Survey, 46.3 percent of Sacco Societies members experienced a case of unexpected or unclear charges while 45.1 percent experienced delays in disbursements of money and 26.8 percent experienced a cased of poor services. Further, according to the 2021 Sacco Supervision Report, 55.76 percent of Sacco members that filed complaints with SASRA experienced delays in accessing the refund of their savings deposits, 11.98 percent experienced delays in loans and loans issuance and 4.61 percent experienced challenges with guarantor and guarantee of loans.

Consequently, the aforementioned challenges could be among the drivers leading to the low usage of SACCO financial services and products from a high of 13.1 percent in 2006 to a low of 9.6 percent in 2021. Hence the need to put in place clear mechanisms/ procedures to handle member complaints.

THE GUIDELINE

In this regard therefore, the Authority has developed a standard member complaints management guideline to be applied across the Sacco sub-sector with a view to ameliorate the challenges related to conduct of business among the Saccos. Specifically, the purpose of the guideline is to define the duties and responsibilities of each of the parties, steps to be applied when dealing with members' complaints and an appropriate member complaint resolution mechanism.

The creation of this guideline aligns with SASRA's commitment to promoting fairness, integrity, constant progress, and the firm adherence to the principle of treating members with fairness. Given that Saccos are member-owned financial institutions, the primary objective should always be to deliver an outstanding customer experience. Any deviation from this standard could result in members opting to leave. Hence, it is imperative for the Sacco industry to institutionalize a structured approach to managing member complaints. This approach would entail recording, categorizing, and addressing such complaints, aiming to improve each member's experience with individual Saccos.

This method necessitates gathering data in-depth to facilitate ongoing monitoring and evaluations for sustained improvement. The collected data must be sufficiently detailed to provide insights that can guide business enhancements. Accordingly, the guideline includes four templates designed for data collection. Two of these are for internal use by Saccos:

1. **Appendix 1:** Sacco Member Complaints Register Template
2. **Appendix 3:** Sacco Complaints Root Cause Analysis Template

   and the other two for data submission to the Authority: -

1. **Appendix 2:** Quarterly Monitoring and Evaluation Template
2. **Appendix 4:** SASRA Common Source of Complaints Quarterly Reporting Template

It is expected that the Saccos will find this guideline useful and assist in improving the Sacco's processes in member complaints management.

Any queries or clarifications in regard to this guideline may be submitted to the Authority through policy@sasra.go.ke.

Peter Njuguna
CHIEF EXECUTIVE OFFICER

PREAMBLE

WHEREAS Section 50(6) of the Sacco Societies Act empowers the Authority to issue general directions, and when necessary, exceptions for the effective execution of its functions under the Act and regulations, and to establish prudential standards for Sacco Societies to follow in conducting their businesses, ensuring a financially stable and efficient Sacco sector;

AND WHEREAS Regulations 57(3) - J and N of the Deposit Taking Business) regulations 2020 and regulation 58(1) – E of the Non-Deposit Taking Business) regulations 2020 mandate Sacco Societies to monitor ethical conduct and consider the development of ethical standards and requirements, including the effectiveness of procedures for handling, reporting, and investigating complaints;

RECOGNIZING the need for a uniform and standardized approach to complaints management within Sacco Societies, which ensures timely resolution while respecting the rights of Sacco members;

APPRECIATING the crucial responsibility placed upon the Supervisory committee by law to uphold ethical standards for the benefit of its primary shareholders, the Sacco members, as well as the general public, regarding the fairness of administrative and operational actions;

AND ACKNOWLEDGING the importance of safeguarding member rights and maintaining professional and ethical standards in Sacco Societies' operations during the performance of their duties and responsibilities;

THE AUTHORITY hereby issues this Guideline on Complaints Management, outlining the expectations of the Authority from Sacco Societies, and the responsibilities and duties of all parties involved in the complaints management processes of Sacco Society operations.

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PART 1: PRELIMINARY

1.0 Title

1.1 This guideline shall be referred to as the Guidelines on Complaints Management for SACCO Societies.

1.2 This Guideline shall take effect from the date it is signed by the Chief Executive Officer and will be applicable to all SACCO Societies in their operations and complaints management processes.

2.0 Interpretations

"Act" means the Sacco Societies Act, 2008.

"Authority" means the Sacco Societies Regulatory Authority established under the Sacco Societies Act.

"Commissioner" means Commissioner for Cooperative Development established under the Cooperative Societies Act, Cap 490.

"Complaint" refers to any expression of dissatisfaction by a member or any other person, relating to the products or services provided by a SACCO Society, or the complaints handling process itself, where a response or resolution is explicitly or implicitly expected.

"Regulations 2010" means the Sacco Societies (Deposit-Taking Sacco Business) regulations 2010.

"Regulations 2020" means the Sacco Societies (Non-Deposit Taking Business) regulations 2020.

"Regulated Sacco Society" means a Sacco Society licensed to undertake deposit-taking business pursuant to Regulations 2010 and a Sacco Society authorised to undertake specified non- deposit-taking business pursuant to Regulations 2020.

3.0 Authority

3.1 This Guideline is established under the authority granted by Section 50(6) of the Act, which mandates the Authority to issue general directions, including specific exceptions if necessary, in order to effectively execute its functions under the Act and accompanying regulations.

3.2 The Guideline aims to ensure that SACCO Societies adhere to prudential standards in conducting their business and to maintain a financially stable and efficient SACCO sector for the benefit of all stakeholders.

4.0 Purpose and objectives of the Guideline

4.1 The primary purpose and objective of this guideline is to support SACCOs in implementing consistent standards, processes, and procedures when addressing member complaints, ensuring a fair and unbiased approach to resolving issues.

4.2 The guideline emphasizes the importance of conducting thorough and timely investigations into all complaints, with the goal of achieving mutually acceptable resolutions, enhancing service delivery, and adopting best practices. As a result, SACCOs are expected to establish efficient and effective policies and procedures for handling member complaints.

4.3 The specific objectives of this Guideline include:

a) Promoting practices that guarantee complaints are addressed in an equitable and impartial manner.

b) Standardizing and optimizing processes related to member complaints handling, ensuring their effectiveness and efficiency.

c) Utilizing feedback analysis as a tool to continuously improve service delivery and customer satisfaction.

d) Cultivating a culture of transparency and disclosure within the complaints management process, fostering trust and accountability among all stakeholders.

5.0 Confidentiality and Anonymity

5.1 SACCOs should adopt measures that facilitate anonymous reporting and safeguard the confidentiality of complainants to encourage open and honest feedback without fear of retaliation or reprisal. These measures may encompass providing an anonymous reporting channel, which could include a dedicated email address, telephone hotline, or online form.

5.2 Additionally, SACCOs should establish clear policies and procedures to ensure that any personal information gathered during the complaints process is treated with the utmost discretion and sensitivity, adhering to relevant data protection and privacy laws. By doing so, SACCOs foster an environment where members feel safe and secure when voicing their concerns, leading to more effective complaints management and enhanced trust among stakeholders.

6.0 Training and Capacity Building

6.1 To ensure the effective management and resolution of complaints, SACCOs should consistently invest in the training and capacity building of staff members responsible for handling complaints. This entails providing comprehensive training on the SACCO's complaints handling policies and procedures, as well as developing essential soft skills that can facilitate successful resolution of issues. Such skills may include effective communication, empathy, active listening, problem-solving, and conflict resolution.

6.2 By regularly updating and enhancing the expertise of staff involved in the complaints management process, SACCOs can not only improve the quality of their services but also foster member satisfaction and trust, ultimately contributing to the overall success and stability of the SACCO.

7.0 Application, Scope, and Limitations of this Guideline

7.1 This Guideline is designed to apply to all SACCO Societies that are licensed and authorized by the Authority under the Sacco Societies Act. The intention is to establish a consistent and unified approach to complaints management across all SACCOs, ensuring that all licensed institutions adhere to the same standards, processes, and procedures when addressing member complaints.

7.2 While this Guideline has been developed in compliance with the provisions of the Act and the Regulations made thereunder, it is important to note that in the event of any conflict between the Guideline and the Act or the Regulations, or any other applicable written law, the Act, Regulations, or such other written law shall take precedence. This means that the Guideline serves to supplement and support the existing legal framework, rather than supersede it, and SACCOs must always prioritize compliance with their statutory obligations.

8.0 Responsibility for Compliance with the Guideline

8.1 The Board of Directors and the management of SACCOs hold the primary responsibility for ensuring compliance with the requirements of this Guideline. It is their duty to establish, maintain, and enforce the appropriate policies, processes, and procedures relating to complaints management within their respective organizations. This includes making certain that all relevant staff members are fully informed and trained on the SACCO's complaints handling practices.

8.2 In addition to the overall responsibility for compliance, the Board of Directors has specific responsibilities related to the implementation, monitoring, and review of the complaints management policies and procedures. This involves:

a) Regularly evaluating and updating the complaints management policies and procedures to ensure their continued effectiveness and alignment with regulatory requirements and industry best practices.

b) Overseeing the establishment of suitable mechanisms for monitoring and tracking complaints to guarantee their timely resolution and to identify areas for service improvement.

c) Ensuring that the complaints management policies and procedures are effectively communicated to all staff members, so they are aware of their roles and responsibilities in handling and resolving complaints.

d) Making the complaints management policies and procedures readily accessible to members, enabling them to understand the process and their rights in the event of a complaint.

8.3 By fulfilling these responsibilities, the Board of Directors helps to promote a culture of transparency, fairness, and continuous improvement within the SACCO, thereby enhancing member satisfaction and trust in the organization.

9.0 Complaints Handling Process

9.1 SACCOs shall establish a transparent and straightforward complaints handling process that is easily accessible and comprehensible for members. This process should encompass the following steps:

a) Providing clear information on how to lodge a complaint, including any necessary forms, contact information, and guidance on the submission process.

b) Acknowledging the receipt of the complaint within a specified timeframe, assuring the complainant that their concerns have been duly noted and will be addressed.

c) Conducting a thorough investigation of the complaint, which involves gathering all relevant information, evidence, and perspectives to fully understand the issue at hand.

d) Undertaking a fair and unbiased assessment of the complaint and determining the appropriate action or resolution based on the findings of the investigation.

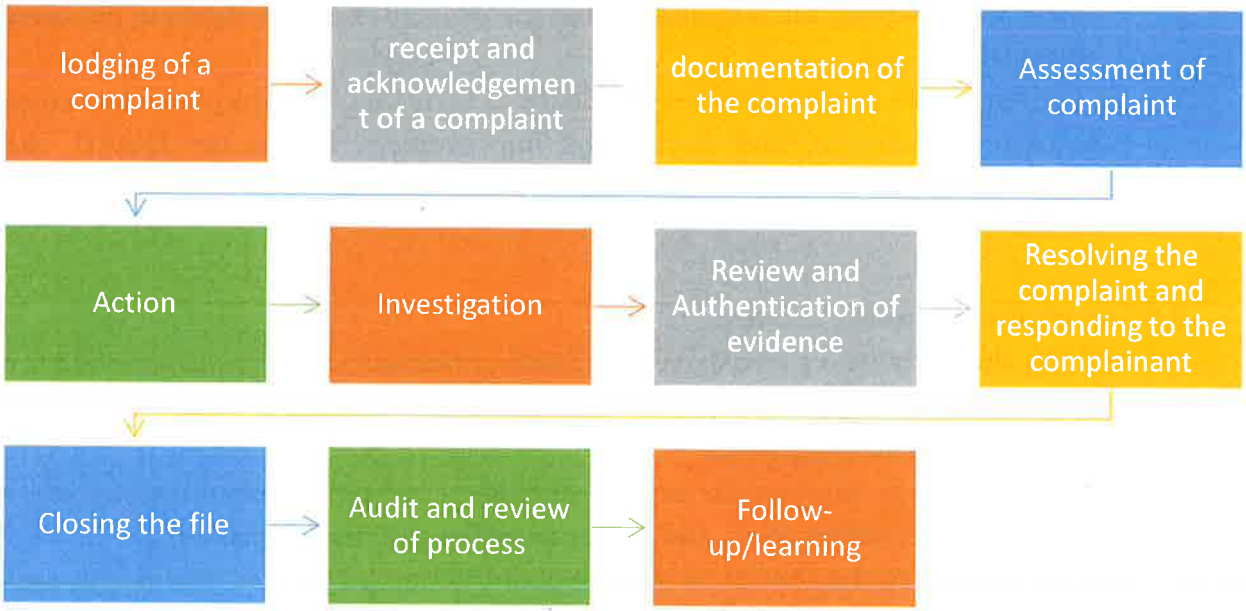
e) Communicating the outcome of the complaint to the complainant, including any actions taken or planned in response to the complaint, as well as the rationale behind the decision.

f) Documenting and maintaining records of all complaints, which should include details of the complaint, the investigation process, the outcome, and any subsequent actions taken.

g) Conducting regular reviews and analyses of complaints data to identify patterns, trends, and areas for improvement. This information should be used to inform ongoing efforts to enhance service quality, operational efficiency, and member satisfaction.

9.2 By implementing and adhering to a well-defined complaints handling process, SACCOs can demonstrate their commitment to addressing member concerns fairly and effectively, ultimately fostering trust and confidence in the organization.

9.3 The diagram represents the complaints handling process in a simple, linear flow, detailing each step in the process from lodging a complaint to reviewing and analysing complaints data. By following this process, SACCOs can effectively address member concerns and foster trust and confidence in the organization.



10.0 Timelines

10.1 SACCOs should establish reasonable timelines for handling complaints, taking into consideration the complexity of the complaint and the need for a comprehensive investigation. As a general guideline, the following timelines should be observed:

a) Acknowledgment of receipt of the complaint: within 3 working days, assuring the complainant that their concerns have been noted and will be addressed.

b) Completion of the investigation: within 14 working days, during which all relevant information, evidence, and perspectives are gathered to fully understand and assess the complaint.

c) Communication of the outcome to the complainant: within 7 working days after the completion of the investigation, providing a clear explanation of the findings, the resolution or action taken, and the rationale behind the decision.

10.2 If a complaint cannot be resolved within the established timelines, the complainant should be informed of the reasons for the delay and given an updated timeline for resolution. Clear and proactive communication should be maintained throughout the process to ensure that the complainant is kept informed of any changes or developments in their complaint's progress.

11.0 Escalation and Appeals

11.1 SACCOs should establish a clear escalation process for complaints that cannot be resolved through the initial complaints handling process. This may involve referral to a higher level of management, such as a senior manager or executive, or an independent internal review conducted by a separate department or impartial party within the

organization. This escalation process should be transparent and easily accessible to complainants, ensuring that unresolved complaints are addressed fairly and objectively.

11.2 SACCOs should also provide complainants with information on their right to appeal the outcome of their complaint if they are dissatisfied with the resolution provided. This includes details of any external dispute resolution mechanisms available, such as mediation, arbitration, or regulatory authorities. Complainants should be informed of the steps required to initiate an appeal, the expected timeline for resolution, and any costs associated with the appeal process. By offering a transparent and accessible appeals process, SACCOs demonstrate their commitment to addressing member concerns fairly and effectively.

12.0 Reporting and Monitoring

12.1 SACCOs should maintain accurate and up-to-date records of all complaints received, the investigations undertaken, and the outcomes of those investigations. These records should be stored securely and treated confidentially to protect the privacy of the complainants. Proper documentation and record-keeping enable SACCOs to track the effectiveness of their complaints handling process and identify areas for improvement.

12.2 The Board of Directors should regularly review complaints data to identify trends, areas for improvement, and any necessary updates to the complaints handling policies and procedures. This review process should include an analysis of the types and frequency of complaints, the time taken to resolve them, and the effectiveness of the resolutions provided. By monitoring and evaluating the complaints handling process, the Board can ensure that the SACCO continues to meet the needs and expectations of its members and remains compliant with regulatory requirements.

12.3 SACCOs should report complaints data to the Authority as required by any relevant regulations or guidelines, and cooperate fully with any investigations or inquiries conducted by the Authority. This may include providing the Authority with access to complaint records, investigation reports, and other relevant documentation. By maintaining open and transparent communication with the Authority, SACCOs demonstrate their commitment to accountability, regulatory compliance, and the continuous improvement of their complaints handling processes.

13.0 Enforcement and Sanctions

13.1 The Authority may take enforcement action against SACCOs that fail to comply with the requirements of this Guideline, including issuing directives, imposing penalties, or taking other appropriate measures as provided for under the Act and Regulations. Enforcement actions may be taken based on the severity and frequency of non-compliance, and the impact of such non-compliance on the SACCO's members and the overall stability of the SACCO sector.

13.2 Enforcement actions may include, but are not limited to:

a) Issuing a warning or reprimand to the SACCO, requiring it to take corrective action within a specified timeframe.
b) Imposing monetary penalties or fines in accordance with the provisions of the Act and Regulations.
c) Restricting or suspending certain activities, services, or operations of the SACCO until compliance is achieved.
d) Requiring the SACCO to engage an independent third-party consultant to review and assess its complaints handling processes and recommend improvements.
e) In extreme cases, revoking the SACCO's license or authorization to operate.

By enforcing the requirements of this Guideline, the Authority aims to ensure that all SACCOs maintain a robust and effective complaints management system, which in turn promotes the protection of member rights, upholds ethical standards, and contributes to the overall stability and efficiency of the SACCO sector.

14.0 Amendments and Updates

14.1 This Guideline may be amended or updated from time to time by the Authority to reflect changes in regulatory requirements, industry best practices, or emerging trends in complaints management. These updates may be necessitated by the need to address new challenges, adapt to changing market conditions, or ensure continued alignment with international standards and practices.

14.2 SACCOs shall be required to comply with any such amendments or updates to this Guideline. To ensure compliance, SACCOs should periodically review their complaints management policies and procedures and make necessary adjustments in line with any changes to the Guideline.

14.3 The Authority shall communicate any amendments or updates to this Guideline to all licensed and authorized SACCOs in a timely manner, providing them with sufficient notice to make the required adjustments. SACCOs are also encouraged to stay informed about developments in the area of complaints management and to proactively seek guidance from the Authority or other relevant sources when necessary. By doing so, SACCOs can ensure their continued compliance with this Guideline and contribute to the ongoing improvement of complaints management practices across the sector.

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APPENDIX 1: SACCO MEMBER COMPLAINTS REGISTER TEMPLATE

(For Sacco internal use to be used by the officer receiving and processing complaints)

No.	Date Received	Receiving Officer	Name Of Complainant	Complaint Issue	Action Taken	Root Cause	Corrective Action	Status (Resolved Ongoing or New)

APPENDIX 2: QUARTERLY MONITORING AND EVALUATION TEMPLATE

(For submission to SASRA every 15th of end of quarter)

No	No of Complaints received	Mode Complaint was lodged	No of Complaints resolved	No of Complaints pending	Duration taken to resolve e.g. spot resolution, 1 day,7 days,14 days,1 month, quarterly, Annual;	Recommendation for system improvement

APPENDIX 3: SACCO COMPLAINTS ROOT CAUSE ANALYSIS TEMPLATE

(For Sacco internal use – Management and Board reporting tool)

No	Complaint	Officer/department complained against	Nature of the Complaint/service issue e.g., delay	Type of cause-Physical (e.g., system failure), human (e.g., inefficient officers, slow unresponsive) or organization (e.g., policies, procedures, regulations)	Remedy Granted	corrective action/preventive action

APPENDIX 4: SASRA COMMON SOURCE OF COMPLAINTS QUARTELY REPORTING TEMPLATE

(For submission to SASRA every 15th of end of quarter)

No.	Nature of Complaint	Number received	Root cause of Complaint	Corrective action taken	Number closed
1	Delay in refund of savings/deposits		E.g. Nonadherence to Sacco by laws		
2	Delay in loan disbursement				
3	Access to member statement				
4	Frequent system downtime without notification (electronic access to online platforms)				
5	Forgery on signatures of guarantors				
6	Refund of savings for deceased members to their next of kin				
7	Non-payment of dividends to full and partial withdrawn members				
8	Lack of payment of dividends on housing shares				
9	CRB listing				
10	Irregular FOSA account transactions				

Note: The Nature of complaints listed are those that the Authority deems persistent based on the complaints received, however, all Sacco complaints are unique and therefore may vary.